

UCU 104: INTRODUCTION TO ENTREPRENEURSHIP

LESSON 1: DEFINITION AND CONCEPTS OF ENTREPRENEURSHIP

Entrepreneurship is a multidisciplinary concept, its meaning and use varies.

It has been variously defined

1. as the process of starting a new business venture through identifying opportunities and acting on them.
2. It can also be defined as the process of taking risks by pursuing a business venture with the aim of making profits.
3. entrepreneurship is seen as the creation of new enterprises.
4. Can be defined as a process of creating new and unique combinations of factors of production to produce economic growth.

There are generally four factors that define entrepreneurship. These are;

- Development of new ideas
- Allocation of resources such as time, effort, and capital
- Acceptance and assuming of the risks involved
- Reward in the end in terms of personal satisfaction, profits, and independence among others.

Types of entrepreneurship

1. **Corporate Entrepreneurship** also called **intrapreneurship**.
 - This one occurs in a large business context or in a corporation;
 - it occurs when employees take up the roles of entrepreneurs and, creatively and innovatively develop and introduce new products/services into the market.
2. **Social Entrepreneurship**
 - Social entrepreneurship is the systematic use of innovative ideas and practical models to achieve social change and major societal impact.
 - It involves the building of organizations that address social problems such as poverty, depletion of natural resources, discrimination and marginalization of women and children.
 - Social entrepreneurs are individuals who tackle social problems and meet social needs in an innovative manner.

Distinction between entrepreneurial ventures and small business ventures

Entrepreneurial ventures are businesses that are created to introduce new goods or new methods of production.

Small business ventures refer to businesses that are independently owned and operated by one person. They are commonly referred to as sole proprietorship or single license businesses.

Entrepreneurial ventures	Small business ventures
They are concerned with their future and thus spend a great deal of time planning for the future	They are concerned with the daily operation of the business
Spend a great deal of time learning new and different ways of doing things	They prefer already tried methods of doing things. They only make the methods more efficient
Time-conscious and dislike details	Concerned with details. Have a more realistic idea of how long tasks take
Make decisions that are risky in nature	Prefer routine decisions that may not put the business to any risk
Are always creative and innovative for new business ideas	Lack innovation and creativity

TYPES OF ENTREPRENEURS

Entrepreneur- is one who creates a new idea in the face of risks and uncertainty for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources.

An **entrepreneur** is basically a person who identifies a business opportunity and obtains the resources necessary to initiate a successful business activity. The entrepreneur implements the idea and undertakes to operate the business.

Types of Entrepreneurs

a) Craft entrepreneurs - exploits and utilizes personal skills to start a business without thinking of its growth or the expansion objectives.

In this type of entrepreneurship

- i. There is no expanding even after along time
- ii. It is not business expansion oriented.
- iii. The skills can be technical skills, professional skill etc.

b) Opportunistic entrepreneurs - This is a person who starts a business, acts as a manager with a view to expand the business to maximum.

- He might not have the skills or profession but he has the opportunity to start and direct others.
- He sees beyond and has abilities to initiate and venture into business that will expand and grow.
- He is innovative; somebody able to delegate activities to others, ready and able to see, scan the environment.

c. Soloist entrepreneur

This is a self-employed person operating alone. It is common in professions such as medical (clinics), law (advocate firm) etc.

d. Acquirer

An entrepreneur who prefers to take over a business that already exists rather than start up from scratch.

e. Turn about entrepreneur

An entrepreneur who buys a small business with problems but has potential for growth.

f. Matriarch/patriarch entrepreneur

This is a head of a family-owned business which often employs several members of the family.

g. Innovative Entrepreneur:

innovative entrepreneurs are those who introduce new products, new methods of production techniques, or discovers a new market or a new service or reorganizes the enterprise. It is the innovative entrepreneurs who built the modern capitalism. They are commonly found in developed countries. They are aggressive in nature who exhibit cleverness in putting attractive possibilities into practice.

h. Imitative Entrepreneur:

These ones usually copy or adopt suitable innovations made by innovative entrepreneurs. They are adaptive and more flexible. They are organizers of factors of production rather than creators. The imitative entrepreneurs are also revolutionary and important. They contribute to the development of underdeveloped economies. Example: The local mobile companies using the same technology as big companies to sell their products e.g. Airtel money was an imitation of Mpesa.

i. Fabian Entrepreneurs:

These types of entrepreneurs are very shy and lazy. They are very cautious. They do not venture or take risks. They are rigid and fundamental in their approach. Usually, they are second generation entrepreneurs in a family business enterprise. They follow the footsteps of their predecessors. They imitate only when they are sure that failure to do so would result in a loss of the relative position in the enterprise.

j. Drone Entrepreneurs:

Drone Entrepreneur are those who refuse to copy or use opportunities that come their way. They are conventional in their approach. They are not ready to make changes in their existing production methods even if they suffer losses. They resist changes. They may be termed as laggards.

k. Adviser:

Some entrepreneurs perform an advisory role and are paid for giving such advice. This is similar to the role played by lawyers, accountant and financial advisers.

l. Administrator/Organizer:

These are entrepreneurs who get involved in organizing events for their clients. A fee is charged per event or based on the attendance of the event. An example is a wedding organizer whose main business is coordinating the various activities that go towards making a successful ceremony.

The Characteristics of Successful Entrepreneur

1. Disciplined

These individuals are focused on making their businesses work, and eliminate any hindrances or distractions to their goals. They have overarching strategies and outline the tactics to accomplish them. Successful entrepreneurs are disciplined enough to take steps every day toward the achievement of their objectives.

2. Confidence

The entrepreneur does not ask questions about whether they can succeed or whether they are worthy of success. They are confident with the knowledge that they will make their businesses succeed. They exude that confidence in everything they do.

3. Open Minded

Entrepreneurs realize that every event and situation is a business opportunity. Ideas are constantly being generated about workflows and efficiency, people skills and potential new businesses. They have the ability to look at everything around them and focus it toward their goals.

4. Self-Starter

Entrepreneurs know that if something needs to be done, they should start it themselves. They set the parameters and make sure that projects follow that path. They are proactive, not waiting for someone to give them permission.

5. Competitive

Many companies are formed because an entrepreneur knows that they can do a job better than another. They need to win at the sports they play and need to win at the businesses that they create. An entrepreneur will highlight their own company's track record of success.

6. Creativity

One facet of creativity is being able to make connections between seemingly unrelated events or situations. Entrepreneurs often come up with solutions which are the synthesis of other items. They will repurpose products to market them to new industries.

7. Determined

Entrepreneurs are not thwarted by their defeats. They look at defeat as an opportunity for success. They are determined to make all of their endeavors succeed, so will try and try again until it does. Successful entrepreneurs do not believe that something cannot be done.

8. Strong people skills

The entrepreneur has strong communication skills to sell the product and motivate employees. Most successful entrepreneurs know how to motivate their employees so the business grows overall. They are very good at highlighting the benefits of any situation and coaching others to their success.

9. Strong work ethic

The successful entrepreneur will often be the first person to arrive at the office and the last one to leave. They will come in on their days off to make sure that an outcome meets their expectations. Their mind is constantly on their work, whether they are in or out of the workplace.

10. Passion

Passion is the most important trait of the successful entrepreneur. They genuinely love their

work. They are willing to put in those extra hours to make the business succeed because there is a joy their business gives which goes beyond the money. The successful entrepreneur will always be reading and researching ways to make the business better. Successful entrepreneurs want to see what the view is like at the top of the business mountain. Once they see it, they want to go further. They know how to talk to their employees, and their businesses soar as a result.

11. Initiative

One of the most fundamental competencies required for the entrepreneurs is the ability to take initiative. It is rather the first step in the enterprise. An entrepreneur has to be keen observer of the society, the commercial trends, the product types, the change dynamics and the consumer trends. Once he/she decides to take the initiative, what matters is the speed with which he/she is going to function.

12. Creativity and Innovation

Competency in creativity and innovation are sometimes basic traits of certain individuals. He/she might not have any new ideas. He/she may use the creative ideas and innovative products and services to meet the challenges of a situation, take advantage of the utility of an idea or a product to create wealth. Example, changes in the packaging of potato chips.

13. Risk Taking and Risk Management

An entrepreneur ventures into new ideas and new services. He/she treads into areas of uncertainty. There are several elements such as demand supply in the market, resources availability, acceptability of the product design and service which throw a potential challenge to the entrepreneur. In order to attune oneself in the skill of risk taking and management he should practice in several areas of entrepreneurial functions such as entering into new market.

14. Problem Solver

Once an entrepreneur is aware that he has ventured on a new area and has taken certain calculated risks, he/she should also be aware that many problems are bound to come in the path of progress. He/she should understand that there is more than one way of solving problems, look for alternative strategies or resources that would help to solve the problem, generate new ideas, products, services etc. For example: When an entrepreneur faces cash crunch he should look for alternative sources for receiving funds.

15. Persistent

In most cases, the entrepreneurial pursuits are new and need very close attention. Creating a need in the market for the enterprise is one of the main requirements of the entrepreneur. This calls for intense perseverance on the part of the entrepreneur. Roadblocks to success should not deter the entrepreneur. For example: Mixers when introduced did not have many customers but today, we find it to be an essential part of kitchen accessories.

16. Information Seeker:

Information plays a very crucial role at every stage of enterprise building and management. The quality and extent of information collected and the way these have been used to make various decisions by and large decides the success and failure of any entrepreneurial venture. They can get this information by personally conducting research, using feedback from previous related experience etc.

How governments planned to promote entrepreneurship

- The development plan laid down proposed to implement small scale industrial policy
- Review the central and local government regulations that a hindrance to entrepreneurial development.
- Provision of direct assistance to the small-scale businesses.
- Establishment of an organization that would give extension services to the small-scale enterprises.
- Creating and strengthening institutions and schemes for the assistance of the small enterprise sector
- Establishment of credit guarantee schemes for loans given by commercial banks
- Establish procedures to improve small scale training through the ministry of technical training and Applied Technology.
- Overhaul the education system.
- Establish a fully-fledged small industrial division in the ministry of commerce and industry – which gave rise to the District focus for rural development.
- Introduction of entrepreneurship education is all levels of training.

ENTREPRENEURIAL MOTIVATION

Entrepreneurial Motivation: This is what drives pushes and inspires the entrepreneurs to start and grow their businesses. This drive usually guides entrepreneurs' effort towards a given behavior that may lead to venture success.

Entrepreneurial Motivations can be defined as the cognitive, biological, and external factors that prompt certain actions in individuals and societies to act in creative and innovation manner.

Internally, a person's orientations determine whether he becomes a successful entrepreneur or not. The external environment such as access to capital and government policies also encourages or inhibits an entrepreneurial spirit.

Motivation of starting a business

There are several factors that motivate an entrepreneur to take all the risks and launch a new business against all odds of failure. They can be categories into two sets

Internal motivation /pull influences

External motivation/push influences

What is the drive?

Internal motivation factors

1. Desire for independence

2. Desire to exploit an opportunity
3. Financial rewards associated with entrepreneurship
4. Turning a hobby or previous work experience into a business
5. Job satisfaction
6. Need for achievement

External motivation factors

1. Retrenchment from one's formal employment
2. Lack of employment
3. Job insecurity
4. Disagreement with employer
5. Dissatisfaction with ones' job
6. Access to capital
7. Favorable government policies

Steps towards Promoting Entrepreneurship by Governments

- i. **Increase small scale industrial sector**. These are small tiny cottage industries. They have increased and the governments in developing schemes to help entrepreneurs.
- ii. Increase investments in the service sector by increased investments in quality services especially in the transport sector repairs services entertainment sector hospitality sectors
- iii. Increased in rural entrepreneurship development by Promoting rural entrepreneurship and Promoting Agro exports such as eggs, meat etc.
- v. Promoting women entrepreneurs in; Encouraging women to a variety of ventures
- vi. Education programmes in entrepreneurship
- vii. Providing cheap finance i.e. loans at low interest rates
- viii. Providing cheap land or industrial estates
- ix. Guaranteeing entrepreneurs market for their products

Self- Employment

Entrepreneurship often leads to self- employment.

Factors to consider when preparing to be self- employed:

- Source of finance, e.g. savings, bank , friends and family
- Government policies

- Availability of competent labour force
- Availability of raw materials
- Availability of security
- Purchasing power of consumers
- Availability of transport and communication
- Competition
- Availability of auxiliary services

Self -Employment is significant in the following ways:

- Fast decision making because of less consultation
- Job security
- Enjoyment of profits alone
- Being your own boss
- Self-satisfaction
- The owner can work for more hours and generate more income
- Services e.g. banks, post office. Insurance companies
- Availability of land

Problems of self -employment

- No sharing of losses
- Long working hours causing health related problems
- Less consultation may lead to wrong decision making
- One may be unable to employ individuals with the right competencies especially at entry point of a business
- Little expansion of business due to lack of enough funds
- High competition which may lead to collapse of business
- Monotony which may lead to demoralization

Advantages of Entrepreneurship

- Financial gains
- Self-employment which leads to job satisfaction and flexibility
- Provide job opportunities to the unemployed or those seeking better jobs.
- A means of opening up new industries especially in the rural areas- facilitating globalization
- A source of generating income and increased economic growth.
- facilitates competition encouraging high quality products
- facilitates production of more goods and services
- Leads to the development of newer markets

- Promotes use of modern technology in especially small- scale manufacturing to enhance higher productivity

Drawbacks / challenges/disadvantages of entrepreneurship

- Poor pay
- Long working hours
- Unclear future
- Fear of losing all that has been invested
- Bankruptcies and closure
- Lack of experience
- Poor financial management
- Fear of delegating
- High cost of production
- Lack of market
- Lengthy and complicated government procedure
- The problem do it yourself and know it all
- Competition by established business
- Lack of funds especially before break even
- Mis- management by employees

Promotion of Entrepreneurship

- Integrating entrepreneurship into the education system
- Registration to encourage risk taking
- National companies to promote entrepreneurship
- Support of entrepreneurs through friendly loans at the appropriate time.